

EPC Earnings-Quality Screen, FY26

Larsen & Toubro · KEC International · NCC Limited · PSP Projects — which company's FY26 profit is actually backed by cash, and which is running on accruals?

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The question

Four EPC/infrastructure companies reported FY26 profit growth this year. Profit and cash are not the same thing, and in a working-capital-heavy business — retention money held back by clients, receivables that sit for quarters, unbilled revenue booked ahead of collection — the gap between them is exactly where earnings quality breaks down first. This screen asks a narrow, answerable question: for FY26, whose profit is backed by operating cash, and whose isn't?

It doesn't score creditworthiness, doesn't forecast anything, and doesn't claim any of these four are cooking their books. A high accrual ratio is a flag to look closer, not a verdict.

Method

Total accrual ratio, following Sloan (1996), computed the cash-flow way:

$$\text{Accrual Ratio} = (\text{PAT} - \text{CFO}) / \text{Average Total Assets}$$

PAT and CFO both consolidated, FY26. Average total assets is the mean of FY25 and FY26 closing balance sheets, so the ratio isn't distorted by a company that simply grew its balance sheet fast. A positive ratio means profit exceeded operating cash generated — further from cash, lower quality by this measure. Negative means the opposite: cash generation ran ahead of reported profit.

Every input — total assets, equity, liabilities, PAT, CFO — is hand-extracted from a specific, cited page of each company's own FY26 filing (annual report or, for L&T, the standalone results filing), not pulled from a data vendor. Every balance sheet ties out: Total Assets = Total Equity + Total Liabilities, checked programmatically for all 8 company-years (FY25 and FY26 each), diff under ₹0.01 Crore in every case — see *data/processed/reconciliation_log.md*.

One honest limitation up front: SEBI's quarterly disclosure norms (LODR Regulation 33) don't require a cash flow statement at Q1, Q2, or Q3 — only at year-end. That's why this is a single-year, FY26 annual-report screen and not a running quarterly one; the cash-flow number this whole ratio depends on simply doesn't exist mid-year for any of these four.

What the four numbers say

Rank	Company	FY26 PAT (₹ Cr)	FY26 CFO (₹ Cr)	Accrual Ratio	CFO / PAT
1	NCC Limited	724.0	-458.5	+5.03%	-0.63x
2	KEC International	605.6	-414.1	+4.31%	-0.68x
3	Larsen & Toubro	16,084.0	16,741.0	-0.16%	1.04x
4	PSP Projects	55.5	322.8	-9.82%	5.81x

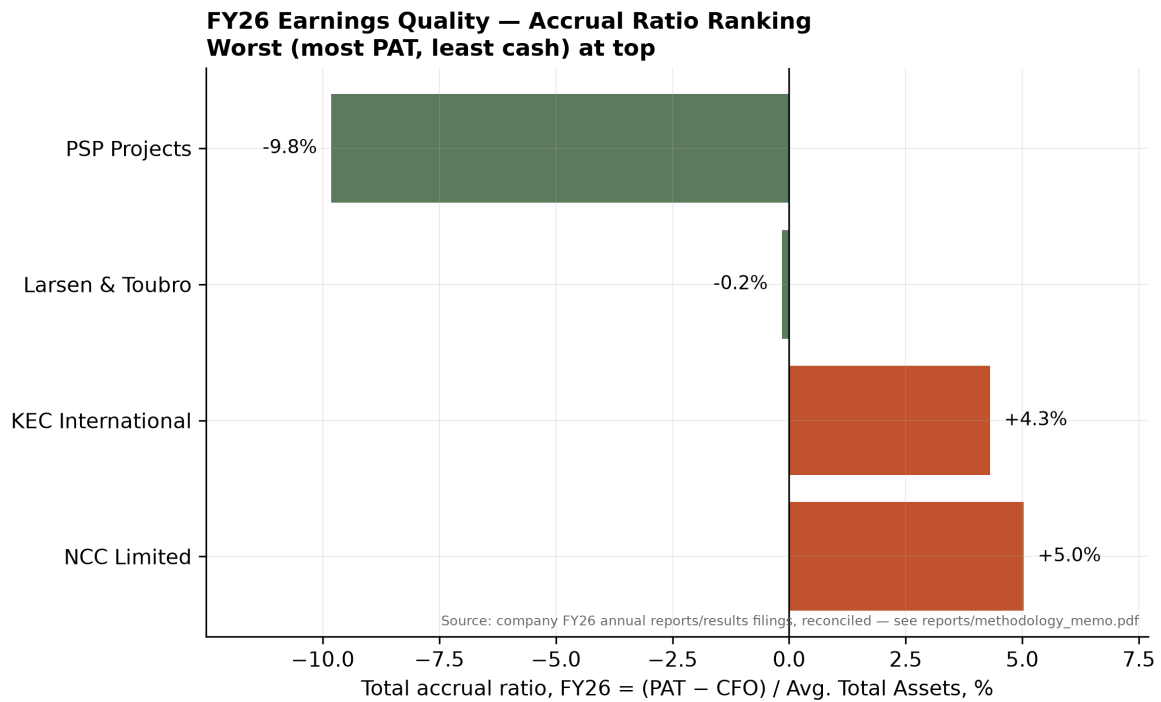


Figure 1. FY26 accrual ratio, all four companies. Worst (least cash-backed) at top.

Company by company

NCC Limited — worst of the four

NCC's FY26 PAT was ₹724 Crore against a CFO of negative ₹459 Crore — the company reported growing profit while operating cash flow ran the other way entirely. Total assets grew 23.8% year on year, the second-fastest of the four, which is consistent with a company still funding growth largely out of working capital rather than converting it. An accrual ratio of +5.03% is the highest in this set. Worth checking before assuming this is simply growth-phase noise: NCC has flagged working-capital pressure in past cycles, so this isn't a one-off pattern for the company, though FY26 specifically is the year in front of us.

KEC International — close behind

Same shape as NCC on a smaller base: PAT of ₹606 Crore, CFO of negative ₹414 Crore, accrual ratio +4.31%. KEC's FY26 annual report is also the one filing in this set with a genuinely difficult extraction layout — its financial-statements section is typeset as merged two-page spreads, and the Statement of Changes in Equity extracts as reversed, unusable text no matter which extraction method is tried (a rotated-table problem, not a crop problem). That statement isn't used anywhere in this screen, so it didn't block the analysis, but it's flagged in *data/raw/source_manifest.md* rather than quietly worked around.

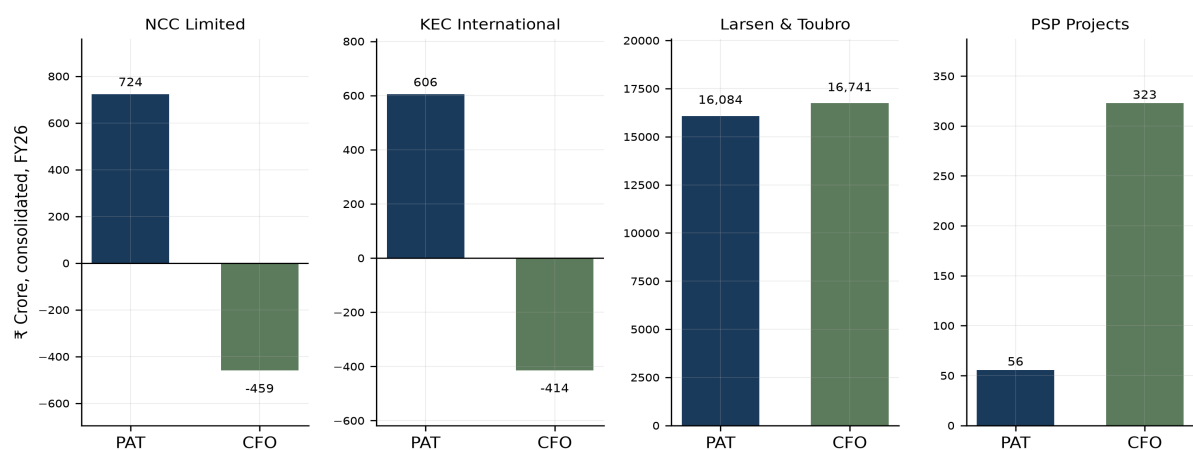
Larsen & Toubro — roughly neutral

L&T's accrual ratio comes out at -0.16%, essentially flat — PAT of ₹16,084 Crore against CFO of ₹16,741 Crore, a CFO/PAT ratio of 1.04x. At L&T's scale (₹4.5 lakh Crore of consolidated assets), a company this size producing a near-zero accrual ratio is itself informative: it means profit and operating cash are moving together at scale, not diverging. One caveat worth stating plainly — FY26 PAT includes a one-time exceptional provision related to the new labour codes, disclosed on the same results page as the PAT figure used here. That provision is already inside the number, not adjusted out, because the point of this screen is what was actually reported and actually converted to cash, not a normalized figure.

PSP Projects — best of the four, and worth a second look for why

PSP's accrual ratio is -9.82%, the most negative here — CFO of ₹323 Crore against a PAT of just ₹56 Crore, a CFO/PAT ratio of 5.8x. That's not a typo: PSP's FY26 profit was small next to its cash generation, mostly because FY25's PAT was itself depressed by a JV share-of-loss of ₹1.54 Crore that FY26 didn't repeat, and because PSP is also the smallest company in this set by a wide margin (₹3,089 Crore total assets vs. L&T's ₹4.5 lakh Crore) — a swing that looks dramatic in ratio terms can come from a genuinely small base. A 5.8x CFO/PAT ratio deserves the same scrutiny as a bad one: it's either a real, durable strength in working-capital discipline, or a one-year number this large won't repeat. This screen doesn't have a second year of PSP data to tell which — that would need FY27's numbers.

FY26 Profit vs Operating Cash Flow, by company (independent scales)



Source: company FY26 annual reports/results filings, reconciled

Figure 2. PAT vs CFO, FY26, independent scales per company — L&T's absolute size would otherwise flatten the other three to invisible bars.

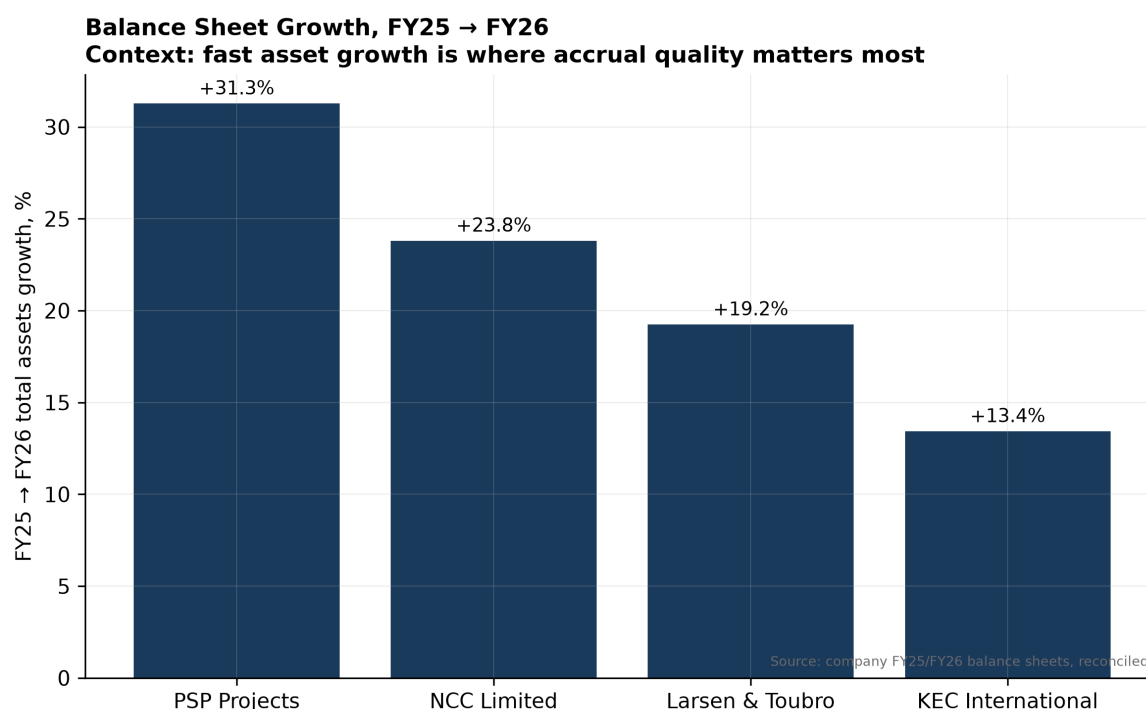


Figure 3. FY25 → FY26 total-assets growth, for context — the two companies growing fastest (PSP, NCC) sit at opposite ends of the accrual ranking, which is itself worth noting: fast growth alone doesn't predict earnings quality here.

What this deliberately doesn't do

This is a 4-company, 1-year screen, not a sector-wide ranking system. It doesn't run a Modified Jones discretionary-accruals regression (needs 80+ companies per industry-year to estimate reliably — four is nowhere close), doesn't compute a Beneish M-score or Piotroski F-score, and doesn't backtest whether a high accrual ratio actually predicted anything in these companies' subsequent stock performance or restatements. All three were part of an earlier, more ambitious version of this project; they were cut, not hidden — a forced regression on four data points would have produced a number that looks precise and means nothing. See LIMITATIONS.md for the complete list, including what a larger version of this project would need to do them properly.

Data: company FY26 annual reports / results filings (see data/raw/source_manifest.md for URLs and file hashes).
Code: src/accruals.py, using the indfin library's balance-sheet reconciliation module. Repository: github.com/theshaswat/epc-earnings-quality-screen.